neighbours on its north and south. Besides, both India and China embark cautious policy towards Bhutan in order to preserve their national interests vis-à-vis each other, respectively. Therefore, China is a constant factor in Indo-Bhutan relation.

India's big and powerful neighbour China is a constant worry for New Delhi. Bhutan along with Nepal and Sikkim had acted as buffers between India and China since the British period. For long however, China had laid claim to all three Himalayan Kingdoms and parts of Indian territory in north and north-east. China claimed that the Himalayan region was "within her natural sphere". China even drew an analogy in its relation with Bhutan when it compared the Union of China, Tibet, Nepal, Sikkim and Bhutan to the blending of the five principal colours, yellow, red, blue, black and green. China further compared the position of Tibet, Nepal, Sikkim and Bhutan to that of the molar teeth side-by-side in a man's mouth. Therefore, when India became independent, she tried to create a ring of buffer states to secure her northern frontier. She thus, concluded a Treaty with Bhutan in 1949 and 'Standstill agreements' with Nepal and Sikkim in 1950. Bhutan too needed to protect itself from Chinese menace. So the need was both ways.

China's attempts to win over Thimpu have made India reluctant to do anything significant and risky, losing an important diplomatic and economically. Bhutan had 15 rounds of boundary talks with People's Republic of China since 1984. Though the talks have not yielded positive results for Bhutan yet both countries have signed an agreement on "Maintenance of Peace and Tranquility in Bhutan-China Border Areas" during the 12th round of talks in Beijing in 1998. This is a matter of concern for India.

Further, India is worried about the presence of anti-Indian insurgents especially from North-east who are alleged to be using the Bhutanese soil for their activities. The North-east insurgency problem has made India sensitive towards Bhutan for without its active cooperation India would not be able to combat the insurgency problem. After years of hesitation, the Bhutan National Assembly in the year 2000 finally authorized the use of force to tackle terrorism by the Government against the ULFA and Bodo militants operating from Bhutan. This was a welcome step by India. This has exactly